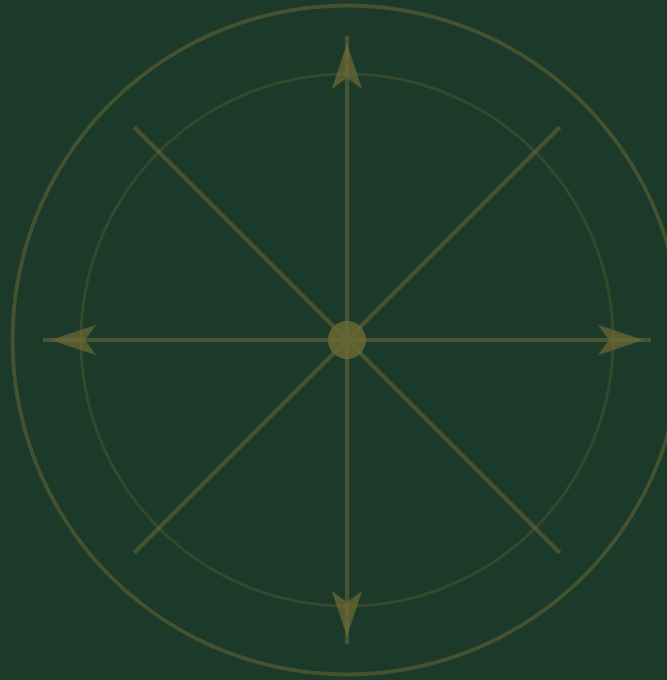




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The Cost of *Guessing*

Three costly mistakes retirees and pre-retirees make when navigating retirement without a guide, and the tax strategies most people can start using right now.

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Good savers make *expensive mistakes*

Accumulating wealth and distributing it wisely require completely different skills

Most people who reach retirement have done something genuinely hard. They saved consistently, stayed disciplined through market downturns, and built something real. That discipline is worth a lot. But the skills that build a nest egg are not the same skills that turn it into a reliable, tax-efficient paycheck for the next thirty years.

Nobody learns to fly a plane by reading the manual on the way down. Retirement income planning is the same. The cost of guessing shows up years later, quietly, in a tax bill nobody expected.

The three mistakes in this guide are not obscure edge cases. They are the patterns that show up again and again, in client after client, across every income level. What makes them expensive is not that they are hard to avoid. It is that nobody explained the rules clearly before the decisions were made.

Inside this guide

01	Ignoring taxes on withdrawals	p.3
02	Roth conversions done wrong	p.5
03	No written income plan, no roadmap	p.7
	Tax strategies you can start now	p.8
	How working with me helps	p.9

Ignoring taxes *on withdrawals*

The bill that arrives years after the decision was made

I Most retirees are sitting on a large deferred tax liability and do not know it

Every dollar in a traditional IRA or 401(k) has never been taxed. The government has been a silent partner in your retirement savings the entire time, and it will collect its share when you start taking money out, whether you plan for it or not.

ANALOGY

Think of your traditional IRA like a restaurant tab that someone else agreed to split with you years ago. You ordered the meal together. Now the bill is coming, and your share depends entirely on how big the total is when the check arrives. The government is that silent co-signer, and the bill grows every year you delay dealing with it.

Three tax traps hiding inside a typical retirement portfolio

The SS tax torpedo

One extra withdrawal can push more of your Social Security into the taxable range. A single dollar of income can trigger several dollars of new taxation, making the effective rate on that dollar far higher than your bracket suggests.

IRMAA surcharges

Medicare Part B and D premiums are based on your income from two years prior. Going one dollar over a threshold triggers the full surcharge, sometimes adding thousands per year per person.

RMD avalanche

Required minimum distributions begin at age 73 whether you need the money or not. If tax deferred accounts have grown large, the forced withdrawals can push you into a higher bracket for the rest of your life.

Your three *tax buckets*

The order you draw from them changes your lifetime tax bill more than almost anything else

1 Taxable

Brokerage accounts and savings. Interest, dividends, and capital gains taxed as earned, often at favorable long term rates. Useful for spending in high income years without triggering extra bracket creep.

2 Tax deferred

Traditional IRA and 401(k). Every dollar withdrawn is ordinary income. Drawing here first in retirement often means paying the most tax on money you spent the longest time saving.

3 Tax free

Roth IRA and Roth 401(k). Qualified withdrawals come out entirely tax free. Pulling from here in high income years keeps your taxable income low and can protect your Social Security and Medicare costs.

The conventional wisdom says draw taxable accounts first, then tax deferred, then Roth. That is a starting point, not a strategy. The real answer is to fill each tax bracket deliberately every year, drawing from the right bucket to keep your total tax bill as flat and as low as possible over a thirty year retirement.

Ideas most people can act on right now

Map your three buckets by balance

Estimate your RMDs at 73 and 75

Check if you are near an IRMAA threshold

Model Social Security provisional income

Find your current effective tax rate

Identify which bracket you will be in at RMD age

Sources: IRS Publication 590-B (RMD rules); SSA combined income thresholds; Medicare IRMAA brackets, which adjust annually. All figures are general and depend on your individual income and filing status.

Roth conversions *done wrong*

The strategy that helps most when you do it carefully, and hurts when you do not

2 Converting to Roth at the wrong time or in the wrong amount can cost more than doing nothing at all

A Roth conversion is one of the most powerful tax planning tools available to retirees. It is also one of the most commonly misused. Converting too much, converting in the wrong year, or ignoring the downstream effects on Medicare and Social Security can turn a good idea into an expensive one.

ANALOGY

A Roth conversion is like prepaying a tax bill you know is coming. Done right, it is like locking in a sale price before the market rises. Done wrong, it is like buying plane tickets at peak holiday pricing when the same seats cost half as much in January. The window matters as much as the decision.

When Roth conversions tend to make sense

- **The gap years.** The period between retirement and age 73, before RMDs begin, is often the lowest income window of the rest of your life. This is usually the best window for conversions.
- **Low income years.** A year with unusually low income, a business loss, or large deductions can create room to convert at a rate you may never see again.
- **Before Social Security begins.** Once you start Social Security, each dollar of conversion income can make more of your benefit taxable, raising the effective rate on the conversion.
- **Bracket filling.** Converting just enough each year to fill the 12 or 22 percent bracket, without pushing into the next one, is often more effective than converting large amounts at once.

The conversion *cliffs to avoid*

The thresholds that turn a careful plan into an accidental one

The most common Roth conversion mistake is not converting at all. The second most common is converting without checking whether the amount crosses a threshold that triggers a cascade of unintended costs.

THRESHOLD	WHAT TRIGGERS IT	WHAT IT COSTS
SS taxation begins	Combined income over \$25K single / \$32K married	Up to 50% of your Social Security becomes taxable income
SS taxation rises	Combined income over \$34K single / \$44K married	Up to 85% of Social Security becomes taxable income
IRMAA tier one	MAGI over roughly \$106K single / \$212K married (2026)	Medicare Part B and D premiums increase significantly
Long term cap gains rate changes	Taxable income crosses 0% bracket ceiling	Capital gains shift from 0% to 15%, adding unexpected tax on investment sales

Sources: IRS (Social Security provisional income thresholds; capital gains brackets); CMS (IRMAA brackets, which adjust annually). Thresholds shown are approximate and for illustration; confirm current figures with a tax professional.

Ideas most people can act on right now

- Find your breakeven conversion amount before each threshold
- Run a conversion projection before year end
- Check your MAGI from two years ago for IRMAA exposure
- Model conversions with and without Social Security income
- Consider spreading conversions across several years rather than one large one
- Pay conversion taxes from a taxable account, not the IRA itself

ANALOGY

Crossing a Medicare IRMAA threshold by one dollar is like going one mile over the speed limit in a speed camera zone. The fine does not scale. You either pay it or you do not, and the difference between the two is one dollar of income.

No written plan *means no roadmap*

Good intentions are not a strategy, and the market does not care about your rough idea

3 Most people retire with a balance and a vague sense of what to do next

A written income plan replaces vague intentions with specific rules made calmly in advance. Without it, every market drop, every big expense, and every withdrawal decision gets made in the moment, under pressure, with incomplete information.

ANALOGY

Imagine setting out on a long road trip with no map, no GPS, and no idea where the gas stations are. You might drive confidently for a while, and the road might feel fine. But the moment the tank runs low or traffic reroutes you, there is no plan to fall back on. A written income plan is the GPS. It does not prevent every detour, but it means every detour has a route back.

What a written income plan actually does

- **Sets a spending rule in advance** so you are not deciding from scratch when markets fall.
- **Maps when each income source turns on**, Social Security, pension, annuities, and at what age.
- **Assigns each account a job**, short term spending, medium term income, long term growth.
- **Builds in a tax strategy** for which bucket to draw first in which type of year.
- **Stress tests** the plan against a market drop in year two, an unexpected expense, or a long term care need.
- **Protects a surviving spouse** with a clear picture of what happens to income if one partner passes.

Tax strategies most people *can start now*

No advanced degree required, just a plan and the right sequence

- **Fill your bracket each year deliberately.** Know how much room you have before hitting the next bracket and use it, whether through Roth conversions, capital gain harvesting, or pulling from tax deferred accounts strategically.
- **Harvest capital losses.** In years when taxable investments are down, selling and immediately reinvesting creates a loss you can use to offset gains elsewhere, reducing your tax bill without meaningfully changing your portfolio.
- **Use a Health Savings Account as a stealth retirement account.** If you are still working with a high deductible health plan, an HSA lets you invest pre-tax, grow tax free, and withdraw tax free for medical expenses. It is the only account with a triple tax benefit.
- **Bunch charitable giving.** Donor advised funds let you contribute a large amount in one year (taking the deduction when it is worth most) and distribute to charities over time.
- **Use qualified charitable distributions.** Once you are 70 and a half, you can give directly from your IRA to charity, satisfying part of your RMD without that amount ever counting as taxable income.
- **Delay Social Security while converting.** The gap between retirement and age 70 is often the single best window to convert IRA dollars. Your income is lower, your bracket is lower, and every year of delay adds roughly 8 percent to your eventual Social Security benefit.
- **Model your RMDs now, not at 72.** Knowing what your forced distributions will look like at 73 and beyond gives you years to reduce the tax deferred balance through conversions and strategic withdrawals.

The advisor gap *that costs the most*

Most of these mistakes happen in the space between two professionals who never talk to each other

There is a pattern I see constantly. A financial advisor manages the investments. A separate tax preparer files the return each spring. Neither one sees the other's work. The investment decisions get made without the tax picture, and the tax return gets filed after every decision is already locked in. The most expensive mistakes fall straight through that gap.

One advisor. Both sides of the equation.

I hold a dual role on purpose. As both a **Financial Advisor** and an **IRS Enrolled Agent**, I build your investment strategy and your tax strategy together, at the same table, before either decision gets made. The Roth conversion that makes sense on paper also gets checked against your IRMAA exposure, your Social Security provisional income, and your bracket for the next five years.

The tax return is not the end of the planning process. For most of my clients, it is where the planning process begins.

One

ADVISOR FOR INVESTMENTS AND TAXES

One

WRITTEN PLAN, UPDATED EACH YEAR

One

TAX STRATEGY BUILT INTO EVERY
DECISION

Your next *step*

A conversation, not a commitment

Kaleb Bridgemohan, Financial Advisor and IRS Enrolled Agent

Based in Tampa, Florida, I help pre-retirees and retirees build tax aware income plans that coordinate their investments and tax strategy in one place. The three mistakes in this guide are avoidable. They just need to be spotted before the decision is made, not after.

Schedule a complimentary financial plan review.

We will look at your withdrawal order, your Roth conversion window, and your written income plan. No obligation.



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